

BURFORD CAPITAL LTD BUR

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by OMC

			2024	2025
Price:	12.00	EPS	1.25	1.25
Shares Out. (in M):	224	P/E	9.5	9.5
Market Cap (in \$M):	2,688	P/FCF	9	9
Net Debt (in \$M):	1,282	EBIT	428	428
TEV (in \$M):	3,970	TEV/EBIT	9.2	9.2

Description

Burford Capital

Burford Capital is the world's leading provider of litigation finance:

1. Listed in London since 2009, Burford has a market capitalisation of \$2.5bn and generated \$726m in revenue and \$576m in operating profit for the first nine months of 2023
2. Revenue and profit have compounded at 44% and 7% p.a. respectively since 2010
3. Led by its founders and renowned in the industry as the innovative thought-leader, our proprietary primary research checks have unearthed a comprehensively positive assessment of Burford from customers, ex-employees, law firms and peers
4. The company has a proven record of widening its relative competitive advantage and has established itself as the leading operator by revenue, market share, innovation, customer service and underwriting skill
5. As a result of this widening competitive advantage, Burford has the potential for improved returns on capital versus the past, which is not being captured by the stock market at present
6. The growth opportunities are vast and the nature of the business model means that Burford has substantial, unpriced optionality if any of its present or future cases prove to be 'blockbusters', such as the recent ruling in Burford's favour against Argentina regarding YPF; a case that is worth up to c. \$6bn to Burford (versus the market capitalisation of \$2.5bn)
7. Valuing Burford is an imprecise exercise, but we assess the company to be worth £32-38 a share by the end of 2026, offering c. 200% upside from the current share price of £11-12

Fig. 1: Historical financials

by historical financials	2010a	2011a	2012a	2013a	2014a	2015a	2016a	2017a	2018a	2019a	2020a	2021a	2022a	2023e
Revenue (\$m)	7	29	54	61	82	103	163	341	420	498	311	192	251	726
Operating expenses (\$m)	(6)	(9)	(20)	(18)	(21)	(26)	(39)	(52)	(65)	(118)	(99)	(145)	(123)	(150)
Adj. EBITA (\$m)	2	20	34	43	61	77	124	289	355	380	212	47	128	576
Adj. net income (\$m)	1	20	35	43	56	66	115	265	329	310	150	(22)	39	510
Adj. EPS (\$)	0.02	0.11	0.19	0.21	0.28	0.32	0.56	1.27	1.56	1.41	0.68	(0.10)	0.18	2.29
CF - Prior to cap. deployed (\$m)	(6)	(10)	2	4	12	(15)	(20)	(32)	(25)	243	377	131	279	375
Capital deployed (\$m)	(70)	(85)	(57)	(62)	(77)	(127)	(276)	(421)	(658)	(389)	(276)	(449)	(482)	(448)

What is litigation finance and what is Burford's business model? Burford and other litigation finance companies are similar to a lending bank company in that they underwrite risk and provide capital to the plaintiffs up front.^[1] Unlike a bank, Burford and peers are not regulated nor does Burford operate with levels of leverage seen at banks. Also unlike a lending bank, Burford's lending has a performance related component: if a plaintiff's claim is successful in court or settled pre-trial, the damages awarded first go to repaying Burford's investment and then are split between the plaintiff and Burford. Burford therefore shares in the upside of any large wins, incentivising Burford to continually maximise underwriting standards and seek out underwriting the most compelling claims.

Prospective claims are generated in three ways. Firstly, from Burford's own outbound sales team. Secondly, from law firms on behalf of their clients^[2]. Thirdly, from corporates directly (rather than via law firms). Outbound and direct are increasingly common channels and underappreciated by investors as a source of competitive advantage versus smaller, less sophisticated competitors.

How does Burford underwrite claims? Claims are initially screened by sales teams, client managers and, increasingly, AI tools, before being passed to underwriters for assessment. The underwriters are ex-lawyers from top-tier law firms who assess the legal merits. Prospective returns and the practicalities of collection also form part of the assessment. Investment committees comprised of experienced managers assess all claims before capital is deployed. Some competitors outsource underwriting (e.g. legal analysis to law firms or financial risk/reward analysis to third parties). Burford's model of fully in-housing all core competencies means that knowledge continually gained helps improve future underwriting.

Burford focuses on the largest legal claims globally, which tend to be less competitive and therefore offer higher potential returns. In this sense, Burford is similar to a leading investment bank, e.g. Goldman Sachs or Morgan Stanley, in that Burford is able to focus on the high-end of the litigation financing market and has developed a reputation/brand for being the funder-of-choice for

large and complex claims.

Very few peers have the means to underwrite large claims in the way Burford does. Most peers do not have the balance sheet capacity to risk underwriting individual cases that might involve \$25m+ of capital (some claims cost over \$200m). Burford has amassed one of the largest proprietary data sets to support underwriting decisions. Most peers do not have the breadth or depth of Burford's proprietary dataset in general nor in relation to large, complex claims (which, by definition, are relatively rarer).^[3] This means that peers have (i) less ability to correctly underwrite the risks of large cases than Burford, and (ii) less capital to take those risks. Burford's average claim size has increased as the company has grown in size. We estimate this trend should lead to an increase in returns on capital which is not being recognised by the stock market, as outlined below.

Only 4% of claims that Burford assesses are underwritten. Burford's portfolio of claims is diversified by number (with over 200 cases currently ongoing), meaning that the impact of any one case not succeeding is normally minimal to the group's fair business value^[4]. Cases are also uncorrelated, with Burford deliberately seeking diversification of geography, sector and type of claim.

Burford, as the leading litigation finance provider globally, is literally expanding the size of the market each period. Every year, there is roughly \$800bn spent on legal processes – a staggering figure. Many corporations have not historically funded meritorious legal claims themselves for a range of reasons. For example, because the company's legal function is seen as a cost, not profit, centre. Or, for example, because investors in public companies do not typically like to see operating expenses increase (e.g. from funding legal claims that may or may not pay out years into the future). Neither do management teams whose short-term bonuses might be negatively affected by the company funding such claims, even if successful. By funding the cases via a litigation finance provider, companies can benefit from a "no win, no cost" payoff profile.

The addressable litigation finance market is very large. Whilst defining the exact market scope of the addressable market is difficult, it's clear that the TAM is at least 10x Burford's current level of capital deployment. As such, we assess that the size of the market should present no impediment to Burford's growth in the coming decade or beyond. From an ESG perspective, far from seeing themselves as merely providers of finance, Burford believe that they are helping fund meritorious claims for wronged parties and, to an extent, therefore facilitating justice in society. We think that's a fair characterisation of their activities and motivations.

Burford has generated a fairly consistent 90% return on invested capital ("ROIC"). The average case duration is 2.5 years and Burford, on average, generates a 90% return on that capital (i.e. \$10m invested returns \$19m in 2.5 years, on average). This equates to a c. 30% IRR. This ROIC and IRR is stated before Burford's taxes and operating costs, e.g. the underwriting team, technology and IT, overheads, etc. When Burford's operating expenses are taken into account, Burford's post-tax return on operating capital employed ("ROCE") – NOPLAT divided by invested capital – is around 20%. This is a solid level of unlevered ROCE for an industrial company and a very high level for a lending business. Burford provide excellent disclosure of every single case underwritten (over 450), allowing us to corroborate these aggregated returns.^[5]

We believe Burford's ROIC has a good probability of increasing in the coming years towards 130%. Average case size has increased over time. As these cases have far less competition, Burford is likely to be able to underwrite them at better economics. Burford is also increasingly underwriting "claims families". These are collections of claims that share similar characteristics or are directly linked. A law firm pursuing a claim on behalf multiple similar plaintiffs for the same reasons multiplies the potential payout linearly whilst the cost of underwriting the incremental claims increases only fractionally, leading to operating leverage. This ROIC would translate into an unlevered ROCE of 25 to 30%. This is not being discussed by any sell-side analysts and, therefore, we believe is highly unlikely to be priced into the current market perception. The impact of this dynamic manifesting will be material to (i) free cash flow generation, (ii) fair business value, and (iii) the stock market's perception of the company (i.e. the trading multiple).

Burford has built up a differentiated and resilient source of funding versus competitors. Burford benefits from being able to draw on its own balance sheet, debt financing and a third-party fund management business with multi-year locked-up capital from institutional investors, such as endowments, foundations, pension funds and sovereign wealth funds. Unlike Burford, most peers possess only one source of financing (e.g. case by case financing or balance sheet only); this makes their funding structures less flexible and more fragile. It is easy to under-appreciate the (i) resilience and (ii) ability to capitalise on optionality that Burford has created by structuring its sources of funding in such a thoughtful, deliberate manner.

An increasing percentage of Burford's claims are not competitively sourced. Burford has an 'origination' engine that is far more sophisticated than peers (especially versus generalised lenders expanding into litigation finance), meaning the company generates more and more leads for new claims directly in a way that leads to limited competition. Furthermore, Burford has long-standing relationships with most top-tier law firms who operate as content middlemen that continually funnel business to Burford, as detailed in footnote 2 on page 2.^[6] Less competition for claims can benefit both Burford's revenue growth and returns on capital.

The barriers-to-entry are low but the barriers-to-persistent-and-profitable-scale are high. Given Burford "only" provides financing, we have spent significant time assessing the relative surplus customer utility that Burford generates for plaintiffs and law firms versus competitors and substitute offerings - outlined below – wary that the potential competitive advantages for funding businesses can be relative narrow.

Competition from alternative investment management firms is stable. Generalist lenders (e.g. Fortress, Elliott, Centrebridge or D.E. Shaw) have large balance sheets and can, in theory, hire an experienced litigation finance team. (All the above names have funded litigation finance in some form.) But these teams must have a large network of contacts at law firms and corporates and they must build out client-service capabilities that are far more complex than a typical investing "desk" at an alternative investment management firm. Furthermore, these generalised lenders often lack the long-term commitment of Burford. How probable is it that senior decision makers at Elliott or Fortress close down or constrain capital to the litigating financing business at some point in the future? How committed are these businesses to being a long-term funding partner? Burford's commitment to solely focusing on litigation finance lending is a genuine draw for prospective customers.

Just as with a Blackstone or a J.P. Morgan, any specialty finance business model requires continual strong execution to keep widening the 'moat' versus competitors. This is tougher than it looks and has led to Burford's specialised litigation finance peers experiencing various challenges in recent years, often involving a combination of struggling to generate sufficient returns and therefore struggling to raise capital, and therefore struggling to invest in the best talent customer propositions. In theory, as a provider of capital, Burford's services are somewhat fungible. But, as Yogi Berra said, "In theory there is no difference between theory and practice - in practice there is".

Burford is led by an impressive team of founders who are regarded by many in the industry as genuine thought leaders. The management team own over 10% of the shares, giving them multi-hundred million dollar alignment of interests with shareholders. All our primary research checks have indicated that Burford embodies the culture and behaviours that we seek in a typical investment: a culture of long-termism, innovation, adaptability and drive. Indeed, we were positively surprised by the comprehensiveness of the positivity we unearthed from our checks - even competitors spoke about Burford's customer proposition, strategic vision and execution. The quality of the board of directors, controls and governance has improved materially as the company has grown in the last decade.

As an owner-operated business, Burford deploys its own capital and directly links most of employees' compensation to the success of each year's claims. This makes Burford more akin to a financial services firm like KKR or Blackstone than a law firm that bills by the hour or a hedge fund where portfolio managers get paid on the success of their individual investments only. Salaries are lower than for law firms, but total compensation can be higher - this attracts bright minds with the appetite for assessing and taking risk. Compensation is linked to the performance of the entire firm's claims in that year, rather than just the claims an individual underwrites, which incentivises a focus on the team and not the individual. These subtle differences are easy to brush over but, in our experience, are exactly the sorts of small, thoughtful long-termist organisational decisions that high-quality companies make and likely contribute to Burford's continued outperformance in growth and customer satisfaction versus peers over the last decade.

Burford's track record here across many dimensions is consistently top decile versus other litigation finance specialists and gives us confidence Burford's relative competitive advantage is gently widening over time. 1. Burford's brand / reputation with clients and law firms is best-in-class, which means Burford is almost always shown the most promising potential claims. 2. Burford's leadership group is in the top decile versus peers for thought-leadership, stability and alignment of interests with shareholders. 3. Burford's proprietary case data (of privately settled and publicly reported) of cases is market-leading. 4. Burford's investment in data analytics, machine learning and AI more innovative and comprehensive than peers'. 5. The resilience of Burford's funding means that the company is able to create funding structures that others cannot. As we assess Burford through each of the dimensions of our relative competitive advantage frameworks, (i) we consistently see top-decile or best-in-class rankings, and (ii) we see evidence of that relative gap widening over time.

Accounting rules make Burford's profit and loss statement volatile. We think this directly contributes to Burford's mispricing in the stock market. Burford's business model is simple: it invests operating expenses in the gathering and underwriting of claims, and then provides funds to a very select number of claims that, on average, generates a 90% return approximately 2.5 years later. Accounting rules mean that litigation finance companies only book revenue when a major and positive legal milestone is reached, e.g. a settlement is agreed or a case is found in the plaintiff's favour. Each case's timeline is idiosyncratic, as is the deployment schedule for Burford's capital on a quarterly basis. Because Burford is continually incurring operating expenses (e.g. employee costs, IT and technology costs, etc.), Burford's revenue and profit can therefore be volatile. This makes assessing underlying business trends from the reported revenue, profit and free cash flow difficult. Instead, (i) the amount of capital deployed and (ii) the ROIC earned on completed cases are the most illuminating metrics for the health of the business.

We think Burford can grow deployed capital by 10% p.a. for many years without compromising ROIC. When assessing any underwriting business, it's critically important to be sceptical of the quality of the company's growth. Any lending business can grow by underwriting bad risk. (Though we would note again that, because of the conservatism of accounting convention in relation to litigation financing, Burford's P&L statement is significantly less at risk of being superficially inflated by bad underwriting standards than a traditional bank or insurance company). Burford disclosing returns on capital per case each year is very helpful for us tracking whether underwriting quality is deteriorating; we see no evidence of that. In fact, the opposite, as noted on page 3. Additionally, the substantial equity ownership by business' leaders directly incentivises underwriting standards remaining high.

At least four positive dynamics mean the Burford investment case is inflecting positively here and now. (i) Many legal processes stopped during COVID which slowed case resolution and revenue recognition and free cash flow generation. There will be a bolus of case resolutions through 2024 and 2025 as a result. (ii) Burford's push into larger claims and claims families should lead to returns on capital through 2024 and 2025 that are above the stock market's expectations. (iii) A number of Burford's listed competitors have been struggling in recent years with their underwriting standards, raising new capital and retaining talent, whilst the unlisted competitors do not appear to be growing their deployed capital base in the same way as Burford. (iv) The probable resolution of Burford's \$16bn case against YPF and Argentina.

Burford can plausibly earn \$6bn from one claim: YPF. As a reminder, Burford's market capitalisation is c. \$2.5bn or £11 a share. We believe that the core business is worth £20-25 a share and the YPF claim is plausibly worth £10-20 a share and that this decade-long process is moving towards the final innings where Burford and plaintiffs are paid. In 2010, the left-wing Argentinian government expropriated the NYSE listed shares in YPF, an Argentinian oil producer. In 2023, after a lengthy court case, the New York judge ruled comprehensively in the plaintiff's favour that the Argentinian state had deliberately broken its very clear contractual obligations.

Whilst the YPF case is a large one - the judge awarded damages of \$16bn plus interest that accrues each year - the case is straightforward from a legal breach-of-contract perspective. There are still some legal arguments ongoing, but they are broadly 'delaying tactics' from Argentina's US lawyers. In essence, the case has now moved to the "collection" phase - the typical "end game" for litigation financing. Over the last year, two major developments have materially shifted the probabilities of a large payout to Burford. Firstly, the court ruling in Burford's favour and awarding of the maximum amount of damages. Secondly, Javier Milei coming to power in Argentina in 2023. Milei is a libertarian politician that believes in capitalism, free markets and the need for Argentina to work harmoniously with the private sector and international financial markets.

The probability that Burford will win a \$4-5bn cash payout is far larger today than a year ago. 1. Milei has continually commented that Argentina must be trusted to pay its international debts if it is to be able to borrow on sovereign debt markets like any normal sovereign creditor - a key plank of his strategy to turnaround the struggling economy. 2. He has also explicitly acknowledged that Argentina expropriated YPF illegally and that the obligation must be paid: He has even gone so far as to propose a bond to repay the obligation named after the politician that facilitated the expropriation. 3. Burford's management was in Argentina recently meeting with senior Milei administration staff. 4. For all the noise associated with Argentina's being a bad debtor country, it actually has a consistent reputation of paying up once legal rulings are issued against it. 5. Repsol, which owned part of YPF when it was expropriated, was paid 50¢ on the \$ by Argentina and that was years before the legal ruling in the plaintiffs' favour. Burford is set on settling for substantially more (50% would be c. \$3bn) because of its strong legal position.

YPF is probably worth £15 a share and could plausibly range from £11 to 22 in value. Burford's share price has risen in the last 18 months as the YPF case milestones have resolved positively. We assess that the share price has risen c. £4 in relation to YPF (out of a £11 current share price). Our modal payout forecast is \$4.3bn, which is worth £15 (£11 excluding the £4 in the price) a share. £11 a share in unpriced-in value implies 100% upside to the share price just from the YPF case. A full pay-out is worth £22 a share (£18 excluding the £4 in the price) or 160% upside.

Conversely, YPF is also the most plausible near-term risk to the investment case. As noted, we estimate the share price has risen c. £4 in relation to positive YPF news in the last year. Whilst our assessment is the risk/reward skew is very tilted to the upside, there is still the risk of £4 (or more) retracement risk to the share price. That is 30 to 35% of the current share price. Public market investors can be capricious and we expect they will overreact to any superficially alarming developments regarding YPF. Changes to the case's legal outcome are highly improbable but possible. Collection of the claim is plausibly a complex process that may take a number of years, which we factor into our forecasting.

Fig. 3: Forecast financials - base case^[7]

Summary	2019a	2020a	2021a	2022a	2023e	2024e	2025e	2026e	2027e	2028e	2029e	2030e
Capital provision asset - deployed cost [excl. YPF]:	1,975	950	1,218	1,465	1,689	1,789	1,912	2,077	2,259	2,459	2,599	2,672
Capital provision asset - unrealised gains [excl. YPF]:	n.a.	245	279	349	438	373	374	376	379	382	385	389
Capital provision asset - deployed cost [YPF]:	n.a.	41	50	55	58	0	0	0	0	0	0	0
Capital provision asset - unrealised gains [YPF]:	n.a.	772	771	768	1,228	0	0	0	0	0	0	0
Tangible equity	1,390	1,487	1,562	1,609	2,162	5,166	5,228	2,044	1,683	1,814	1,917	1,991
Cash and equivalents	225	367	378	325	101	4,404	4,343	1,191	746	773	853	990
Debt	665	677	1,036	1,269	1,269	1,317	1,317	1,517	1,617	1,717	1,837	1,977
Capital deployed (\$m)	389	276	449	482	500	550	605	665	732	805	805	805
Revenue (\$m)	498	311	192	251	832	3,721	588	607	657	638	698	765
Operating expenses (\$m)	(118)	(99)	(145)	(123)	(164)	(312)	(160)	(174)	(189)	(205)	(213)	(220)
Adj. EBITA (\$m)	380	212	47	128	669	3,410	428	433	468	432	486	545
Adj. net income (\$m)	310	150	(22)	39	543	3,183	288	290	315	280	319	362
Revenue [excl. YPF] (\$m)	498	311	192	251	373	463	588	607	657	638	698	765
Operating expenses [excl. YPF] (\$m)	(118)	(99)	(145)	(123)	(164)	(164)	(160)	(174)	(189)	(205)	(213)	(220)
Adj. EBITA [excl. YPF] (\$m)	380	212	47	128	209	300	428	433	468	432	486	545
Adj. net income [excl. YPF] (\$m)	310	150	(22)	39	102	180	288	290	315	280	319	362
Adj. EPS (\$)	1.41	0.68	(0.10)	0.18	2.43	14.07	1.26	1.26	1.35	1.19	1.34	1.51
Memo: Bear case (75% RONIC)	n.a.	n.a.	n.a.	n.a.	2.26	13.64	0.81	0.79	0.85	0.64	0.75	0.86
Memo: Bullcase (110% RONIC)	n.a.	n.a.	n.a.	n.a.	2.42	14.22	1.43	1.43	1.54	1.40	1.57	1.76
uFCF - Prior to capital deployment (\$m)	243	377	131	279	375	1,233	4,675	892	958	984	1,087	1,201
Capital deployed (\$m)	(389)	(276)	(449)	(482)	(500)	(550)	(605)	(665)	(732)	(805)	(805)	(805)

The most plausible mid-term risk is competitive intensity. Burford is a lending business. As noted, in theory, like an investment bank or insurance company, the moat is relatively narrow: what they do is, in theory, somewhat replicable by a well-funded, intelligent and committed competitor. In reality, it's not that simple. The listed competitors appear to be retrenching, as noted. Additionally, investment management firms with large balance sheets do not appear to be committing to becoming permanent, well-invested lenders for litigation financing. All that said, we are careful to ensure our forecasts and frame for Burford is continually set appropriately prudently.

We capture conceptual competitive risks and the low barriers-to-entry (but high barriers-to-persistent-and-profitable-scale) in what we believe to be prudent forecasts and fair valuation. Whilst we see a broad range of evidence that suggests Burford is the clear best-in-class operator, we are very aware of the need for continued out-execution. As a result, we have struck our

forecasts to what we believe is a conservative normalised level of growth (c. 10% p.a.) and a prudent forecast return on capital (20% post-tax ROCE and 100% ROIC, with no expansion forecast.)

The biggest sensitivity in the fair value estimate, excluding YPF, is the normalised ROIC, illuminating a possible range of fair value between 125% and 300% above today's share price. If ROIC was to fade from the 90% historically generated and stabilize at 75%, it would translate into a 13% post-tax ROCE and a fair value per share of approx. £25. This is 125% upside to the current share price of £11. Conversely, if ROIC was to expand in line with Burford's internal forecasting models towards 135% then it would translate into a c. 29% post-tax ROCE and a fair value of approx. £45 to 50, which is over 300% upside. All the "inside view" evidence we see is that Burford's ROIC is more likely to expand than fall: more large claims, more claims families, excellent execution and a widening relative competitive advantage. On the other hand, the "outside view" says that returns on capital tend to trend towards the cost of capital over time. This is particularly relevant for businesses where barriers-to-entry are often low but where the barriers-to-persistent-and-profitable-scale are high.

The current price of £11 presents a wide margin of safety versus these risks. This offers a very positive risk versus reward skew over the next two to four years (and potentially longer). We will continue to monitor (i) the competitive dynamics and (ii) Burford's execution as well as remaining prudent with our forecasting of the business' financials and fair business value.

Fig. 3: Sum-of-the-parts ("SOTP") valuation

Valuation - SOTP (EV/IC)	2023e	2024e	2025e	2026e	2027e	2028e
Capital deployed in capital provision business [excl. YPF] (\$m)	2,127	2,162	2,285	2,453	2,638	2,841
Sustainable long-term growth rate of IC (%)	2.5%	2.5%	2.5%	2.5%	2.5%	2.5%
Discount rate (%)	9.5%	9.5%	9.5%	9.5%	9.5%	9.5%
RONIC on capital deployed [post-tax] (%)	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%
Memo: Conceptual/normalised NOPLAT from capital provision IC (\$m)	425	432	457	491	528	568

EV/IC and SOTP based on 2024 financials:	\$m	\$PS	£PS	EBITx	EV/ICx
Value of capital deployment business [excl. YPF; post tax] (\$m)	6,177	27	22	14x	2.9x
Value of YPF [post-tax] (\$m)	4,306	19	15	n.a.	n.a.
Value of AM [post-tax] (\$m)	300	1	1	n.a.	n.a.
EV of group (\$m)	10,783	48	38	n.a.	n.a.
Net debt (\$m)	(934)	(4)	(3)		
Cumulative dividends (\$m)	278	1	1		
Equity value (\$m)	10,126	45	36		
USD/GBP			1.26		
Fair business value per share (£)			36		
Current price (£)			10.7		
Upside (%)			+231%		

[1] Burford does not do much post-trial litigation financing, which is more akin to 'factoring' of receivables. Once a plaintiff has won a claim, a post-trial litigation financier will provide the plaintiff with capital and will collect the claim from the defendant. As such, the returns from post-trial litigation financing are closer to 10% IRRs compared to Burford's c. 30% IRRs from pre-trial litigation financing.

[2] Law firms act as a 'secret agent' middleman on behalf of Burford. If Burford has built up a strong reputation and relationship with a given law firm - which our primary research checks indicate to be the case - then the law firm can often encourage clients to seek funding from Burford for the case. The law firm benefits here because it will generate the fees that Burford will fund. This acts as a source of competitive advantage for Burford versus other litigation finance providers.

[3] Many cases are settled pre-trial, which means the details of the case are never made public. As the largest provider of litigation financing globally, Burford has the largest private dataset of settled cases from which to base future underwriting decisions on.

[4] The exception to this statement is the current YPF case, discussed on page 6, owing to the case's (i) large size (the court has awarded the plaintiff \$16bn in damages, of which Burford is owed c. \$6bn), and (ii) awareness by the stock market of this specific claim, and therefore it being partly incorporated into the current share price.

[5] Burford's 90% inception-to-date average ROIC has been fairly similar to listed peers. Given Burford's dominant position in the industry and apparent relative competitive advantages, this initially puzzled us. Disaggregating the historical data, we found that listed peers (which Burford has consistently outgrown over the last 15 years) benefitted from very high ROIC in their early years as a result of a large number of unique, high ROIC claims

families that are no longer legally feasible; in essence, their early years ROIC is not representative of their current ROIC. We believe Burford is benefiting from the opposite trend: increasing ROIC.

[6] As the largest, most-established and high-end focused provider of litigating financing globally, Burford has an established relationship with almost every leading law firm and many large corporates. This greatly helps Burford underwrite “plaintiff risk” (different to “legal risk” and “collection risk”). This is important because, in litigation financing, the plaintiff decides whether to settle or not (if such an offer is made pre-trial by the defendant) and the plaintiff decides the legal team for the claim; Burford merely provides the case funding. As such, Burford is and must be exacting in terms of which claims it chooses to underwrite.

[7] This models the YPF claim being agreed in FY 2024, hence the large increase in tangible equity, cash and equivalents (specifically, receivables), revenue and profit that year, with the actual payment of the claim occurring in FY 2025.

I hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise do not hold a material investment in the issuer's securities.

Catalyst

YPF resolving + generating huge returns - 2024-26

COVID cases turning into completions - 2024

Increase in capital deployed in 2024

Full reporting on NYSE (10K rather than 20F foreign issuer) in 2024

Messages

Subject	Nice writeup – questions
Entry	03/22/2024 04:14 PM
Member	zax382
I'm consistently surprised with how poorly BUR's stock trades. I think its just that very few long-term pools of capital are interested in trying to understand their business model, so its held by event driven / value oriented investors who just kind of consistently go out of business and need to sell. So a cash infusion from YPF would be nice. A few questions: 1. "Burford's management was in Argentina recently meeting with senior Milei administration staff." - Curious if you could confirm this and how you know this? 2. Lets say they are able to take a few billion out of this from Argentina. What do you think they do with it? Deleverage + return of capital dividend?	
Subject	Pushing up size of cases
Entry	03/25/2024 11:48 PM
Member	sirisaiah623
This is an excellent post - thank you for contributing. It seems the model of Burford is similar to most investment management businesses: the operating leverage is superb. It takes the same amount of labor and effort to work on a \$50m investment as a \$500m investment, but your economics scale in line with the size of the check. How do you think Burford can continue to push upmarket to larger and larger cases?	
Subject	Squaring high ROCE with book value compounding
Entry	03/26/2024 03:36 PM
Member	SamPR
Thanks for the write-up. I agree that Burford looks attractive. I am long, although it's not a huge position for me. I like that they have earned good returns over the years, they may have a strong competitive position in a growing and nascent industry, they seem to have good culture, and they may perform well in an economic downturn. One issue keeping me from a bigger position is that I can't square Burford's reportedly very high ROIC with book value per share compounding. You say all-in unlevered ROCE is ~20%, which should mean (levered) book value should have compounded even faster over Burford's history (~25%?) given the very low dividends. On the other hand, BVPS compounded at (only) 16% over 12 years from 2011 through 2023. And in the early part of this period, they issued equity at a significant premium to book, which should have helped BVPS compound even faster. 16% BVPS compounding includes some benefit from the YPF home run, which may be unrepeatable. I'm not bearish, I just question if it's really a 20% ROCE business going to 25%. If so, I'd like to own more of it. However the historical BVPS compounding suggests lower returns to me. Am I missing something? I know people will make excuses (COVID drag in the courts, wonky accounting for their business, etc), but I'm of the opinion that long-term BVPS compounding often reveals the truth. I'd love to hear any thoughts.	
Subject	Re: Squaring high ROCE with book value compounding
Entry	03/26/2024 03:56 PM
Member	SelbyRoyal
My 2 cents on the compounding issue: the opex drag has acted like an anchor around Burford's portfolio, the weight of which has hindered the rate of book value growth to converge more closely with the returns of the litigation portfolio. The key detail is that this anchor should not increase materially in size as Burford's litigation portfolio expands (because of operating leverage and all of that -- can check KPIs like \$-value of commitments/employee or \$-value of deployments/employee) and as such ROCE should increase meaningfully in future years. How large of an effect has opex had? Burford has barely eked out a positive cash return in the last few years which obviously has consequences on the ability to grow the book. Now, there are many elements that can be discussed as to why cash returns have been poor – Burford ramping up employee growth, courts closing down due to Covid, etc. – but that's a separate topic, and one that's been talked about quite frequently on other Burford threads on VIC.	
Subject	R2000 inclusion
Entry	05/16/2024 10:10 AM
Member	zbeex
BUR is expected to be included in the R2000 at end of this month.	
Subject	Burford added to Russell 2000
Entry	05/28/2024 06:19 AM
Member	zbeex
https://www.lseg.com/content/dam/ftse-russell/en_us/documents/other/ru3000-additions-preliminary-20240524.pdf	
Subject	Recent Sell-Off
Entry	06/26/2024 10:56 AM
Member	rookie964

You have an update on what has trigged the recent sell-off?

Subject	Re: Recent Sell-Off
Entry	06/26/2024 03:01 PM
Member	zax382

Oh the selloff is simple to explain, indexes have to buy \$430m of shares on Friday at the close, so its clearly a huge sell into that torrent of forced buying...

I joke, although index arb is such a huge business now that it can play havoc on smaller cap stocks. I do think there was some modest setback in the Sysco case, although most of this is likely the combo of negative momentum, the "missed" Q1 results, the fact that only value investors own this stock and we, collectively, are dying a slow death and have to sell everything ever day as capital dries up, and people really don't like cheap financials right now.

Subject	US Govt May Weigh In on Burford's \$16 Billion Argentina Award
Entry	09/10/2024 08:14 PM
Member	TheSpiceTrade

Anyone have thoughts on this?

The US government is "actively considering" whether to file a statement of interest concerning Burford Capital's efforts to collect a \$16 billion judgment against the Argentine government.

In a Monday letter, the Justice Department asked US District Judge Loretta Preska in Manhattan to delay ruling on Burford's motion for an order requiring Argentina to turn over its 51% interest in oil company YPF SA to help satisfy the judgment. The US government said it would submit a statement Nov. 6, if it chose to do so.

The case stems from Argentina's nationalization of YPF in 2012 and its decision at the time not to comply with company's by-laws requiring a tender offer to investors. Burford, which subsequently acquired the interests of YPF shareholders and sued on their behalf, stands to make some \$6.2 billion if the full judgment is paid.

It's not clear what position the US government would take in the Argentina case. Last year, the US joined France and UK in asking a judge to delay a bondholder's suit against the Sri Lankan government to facilitate negotiations between the South Asian nation and other creditors.

Subject	Milei
Entry	10/16/2024 11:03 AM
Member	zbeex

https://x.com/jmilei/status/1846492637315862567?s=48&t=dn8rla9MPX_92Jn-VYTaew

Subject	Weak ROE (ex YPF)
Entry	03/03/2025 12:52 PM
Member	SamPR

2024 ROE came out at 6.7%. The includes ~\$126M revenue from YPF assets in the numerator and ~\$1.4B in YPF assets in the denominator. I think if we figured out how to strip out YPF (which would be tough because it's hard to isolate profits down from revenue – maybe someone knows how though), we'd end up with a similar level of ROE ex-YPF (~7%).

Meanwhile the company bragged on their conference call of record-level case ROIC – 108% (caveat – this may be just resolved cases, which has selection bias).

It's been a number of years of excuses for low profitability (ex YPF):

- 2020/2021: courts were jammed up
- 2022: rising rates pressured GAAP profits
- 2023: YPF big gains masked non-YPF profitability
- 2024: looks like a clean year, and low profitability

I want to believe this can be a great business for shareholders, but it doesn't look that way (unless we think they'll have another home run like YPF). I'm curious if others see this the same way – can you be happy paying a premium to tangible book when ROE from the non-YPF business is ~7%?

Subject	Re: Weak ROE (ex YPF)
Entry	03/03/2025 03:12 PM
Member	SelbyRoyal

SamPR,

I have similarly been disappointed by the lackluster results in last 2 years but in 2024 the ROE is better than you think. I get the ROE on a Burford-Only basis to be closer to 12-14%.

Looking at the results on a Burford-Only basis (or what they will call 'Principal Finance' from now on) makes more sense than the Consolidated figure as the third-party assets obscure the picture on a consolidated basis.

In the Burford-Only "segment", they reported \$388m in capital provision income, of \$85m was related to YPF. Thus, the \$170m in reported PBT was \$85m ex-YPF. That's a ~10% pre-tax ROE after adjusting out the YPF assets in the denominator. But in opex there's \$43m expensed for "Long-term incentive compensation including accruals" that tie closely with unrealized gains reported by Burford. From what I can see, virtually all unrealized gains in FY24 came from YPF so one would figure that the \$43m is tied to it as well but its hard to verify if this is true. Excluding the \$43m from the results gives you a 14% ROE for the year. I said 12-14% to account for the uncertainty of the incentive compensation.

Fwiw, I think BUR's ROE will cap out at 14-15% per year in the LT based on the return profile of the portfolio (~25% gross IRR) net of opex cost and taxes. I'm aware some people are much more optimistic on the earnings potential of the portfolio but I have hard time seeing the business scale quickly enough to offset the opex drag, which continues to be persistent.

Subject	Re: Re: Weak ROE (ex YPF)
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Entry	03/04/2025 04:55 AM
Member	punchcardtrader

Agree, except your fwiw phrase curiously only discusses the potential for higher ROE from operating leverage.

Theoretically, I would add that upfront costs to grow are expensed, so if growth were to stop, this component of expenses would disappear (HSD as a % of equity), and ROE can expand by >100 bp (currently expenses annualize to 8% to book equity, maybe a bit lower on Burford only basis) just from that. The extent to which they can add more leverage thanks to improved predictability (which they seem to tout in the last 2 yrs) can also offset the disappearance of fees from 3rd party "asset light" but "more expensive capital". Concretely, assuming they can make a spread after costs (on avg lower risk assets) also deducing interest expense of maybe 7% by replacing 0.25x of equity into debt (versus the current EBT of 1% on equity from asset mgmt), it could add 40-100 bp's to ROE? I realize you stated your prediction after tax so to summarize it seems sensible if they keep doing 2024's numbers & add a little bit of leverage replacing AM, stop growing, your numbers basically materialize (not counting remaining operating leverage).